3. **Which of the following is created by a Special Act of Parliament or in State Assemblies?**

   a) Chartered company

   b) Foreign company

   c) Government company

   d) Statutory company

4. **The Board of directors of a company is elected by _____**

   a) Creditors

   b) Debtors

   c) Debenture holders

   d) Share holders (members)

5. **Companies established as a result of a charter granted by the King or Queen of a country is called _____**

   a) Chartered companies

   b) Statutory companies

   c) Registered companies

   d) Foreign companies

Answers

1. c 2. c 3. d 4. d 5. a

II. Very Short Answer Questions

1. What are the different types of companies?
2. Define a Company.
3. What is meant by Limited liability?
4. Explain any two characteristics of a company.
5. What is meant by Chartered Company?

III. Short Answer Questions

1. What are the advantages of Companies? (any 3)
2. What is meant by Government Company?
3. What is meant by Foreign Company?

IV. Long Answer Questions

1. What are the contents of Memorandum of Association? (any 5)
2. What are the contents of Articles of Association? (any 5)
3. What is meant by Multi National Company?

Reference

1. Sundar, K 2017, Business Organisation
2. www.company-formation.co.in

commerce 1-15.indd 59 2/17/2021 4:48:50 PM